



Cultural distance, political risk, or governance quality? Towards a more accurate conceptualization and measurement of external uncertainty in foreign entry mode research

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ABSTRACT

It is well accepted that multinational enterprises (MNEs) prefer equity joint ventures (JVs) over wholly owned subsidiaries (WOSs) in foreign countries where the formal and informal external environment is highly uncertain. Many entry mode studies have modeled the external uncertainty faced by MNEs in foreign countries as the cultural distance to these countries (thus focusing on the informal environment), or as their political risk level (thus focusing on the formal environment). We argue that both approaches are suboptimal because (1) cultural distance not only reflects the external uncertainty associated with WOSs but also the internal uncertainty associated with JVs, and (2) political risk covers only one aspect of the formal external environment. We contend that the governance quality of foreign countries is a better proxy for external uncertainty. The lower this quality, we hypothesize, the higher the likelihood that MNEs will choose JVs over WOSs. An analysis of 231 entries by Dutch MNEs into 48 countries offers support for this hypothesis. We also find that cultural distance has no impact on entry mode choice and that political risk has the weakest impact of all aspects of governance quality.

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1. Introduction

The choice by multinational enterprises (MNEs) between entering foreign countries through equity joint ventures (JVs) or through wholly owned subsidiaries (WOSs) is a frequently examined topic in the international management literature (for reviews, see e.g. Bell, 1996; Brouthers & Hennart, 2007). It is well accepted that this strategic choice depends to a considerable extent on the external uncertainty in the target country. High levels of external uncertainty lead MNEs to choose JVs with local partners over WOSs, because such JVs are a vehicle to reduce external uncertainty (Anderson & Gatignon, 1986; Hill, Hwang, & Kim, 1990; Luo, 2001; Root, 1987; Xu & Shenkar, 2002). In line with Milliken's (1987) definition of perceived environmental uncertainty and North's (1990) definition of institutions, international management scholars have defined external uncertainty as the uncertainty that MNE executives perceive in the formal and informal institutional environment of the target countries of their investments (Delios & Henisz, 2003; Henisz & Delios, 2002; Xu & Shenkar, 2002). Many entry mode studies have conceptualized and measured this external uncertainty in terms of the cultural distance between an MNE's home country and the target country, thus focusing on the informal part of the

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institutional environment (Agarwal, 1994; Barkema & Vermeulen, 1997; Chang & Rosenzweig, 2001; Cho & Padmanabhan, 2005; Contractor & Kundu, 1998; Erramilli & Rao, 1993; Hennart & Larimo, 1998). Others, on the other hand, have conceptualized and measured it in terms of the level of political risk in the target country, thus focusing on the formal part of a country's environment (Agarwal & Ramaswami, 1992; Akhter & Lusch, 1988; Delios & Beamish, 1999; Delios & Henisz, 2000; Henisz, 2000; Kobrin, 1983; Root, 1987). The goal of this paper is (a) to show that both of these often-used approaches are flawed because cultural distance and political risk are suboptimal proxies for external uncertainty, (b) to offer an alternative conceptualization and operationalization of this uncertainty, and (c) to empirically examine how well this alternative proxy for external uncertainty predicts the choice between JVs and WOSs.

We argue that the cultural distance to target countries not only reflects the *external* uncertainty to which MNEs are exposed when they enter these countries through WOSs, but also the *internal* uncertainty to which MNEs are exposed when they enter them through JVs with target-country firms. This leads us to conclude that cultural distance inaccurately reflects external uncertainty and therefore is a suboptimal predictor of the choice by MNEs between JVs and WOSs. Furthermore, we argue that the level of political risk in the target country is also a suboptimal proxy for external uncertainty, because political risk covers only one aspect of the formal external environment. We therefore argue that political risk is also a suboptimal predictor of entry mode choice. We contend that the quality of the more broadly defined 'governance infrastructure' (Globerman & Shapiro, 2003) of target countries is a better proxy for the external uncertainty that MNEs face in these countries. We hypothesize that the lower this quality, the higher the likelihood that MNEs will choose JVs over WOSs. Analyzing a sample of 231 entries by Dutch MNEs into 48 countries and controlling for other factors influencing the choice between JVs and WOSs, we find robust empirical support for this hypothesis. We also find that cultural distance has no effect on entry mode choice and that political risk has the weakest effect of all aspects of governance quality. The latter findings suggest that entry mode studies that have conceptualized and measured external uncertainty in terms of political risk have focused on a relatively unimportant aspect of a country's formal institutional environment.

Our study makes several contributions to extant entry mode research. First, we offer a new conceptualization and operationalization of the level of external uncertainty that MNEs face in target countries, viz. the quality of the target country's overall governance infrastructure. Second, prior studies have typically attributed the mixed findings on the relationship between cultural distance and entry mode choice to measurement limitations (Shenkar, 2001), sample idiosyncrasies (Harzing, 2003), and the existence of moderating effects (Brouthers & Brouthers, 2001; Cho & Padmanabhan, 2005). We, however, offer the even more fundamental explanation that cultural distance proxies for both the external uncertainty associated with WOSs and the internal uncertainty associated with JVs. Third, we are the first to make the theoretical case that the governance quality of the target country does not suffer from this fundamental drawback. Specifically, we argue that variations in this quality do not translate into variations in the internal uncertainty associated with JVs, and hence only reflect variations in the external uncertainty associated with WOSs. Finally, we are the first to explore the absolute and relative impact of different aspects of governance quality on entry mode choice, thereby increasing our understanding of the importance that MNE managers attach to each of these aspects in their foreign entry mode decisions.

2. Theory development

2.1. Cultural distance and foreign entry mode choice

MNEs can establish foreign-based operations through JVs (which include both greenfield JVs and partial acquisitions) or through WOSs (which include both wholly owned greenfields and full acquisitions) (Brouthers & Hennart, 2007; Chen, 2008; Chen & Hennart, 2002). While WOSs give MNEs full control over their operations, they may at the same time be subject to considerable external uncertainty (Anderson & Gatignon, 1986; Gatignon & Anderson, 1988; Hill et al., 1990; Root, 1987). Many entry mode studies have modeled this uncertainty as the cultural distance between an MNE's home country and the target country (for a review, see Harzing, 2003), i.e. as the extent to which the shared norms and values in the home and target country differ from one another (Hofstede, 1980; Kogut & Singh, 1988). Cultural distance can be seen as a proxy for the external uncertainty associated with wholly owned greenfields and full acquisitions because in both cases the MNE parent has full control over the subsidiary and is hence likely to actively participate in interactions with external local stakeholders with idiosyncratic norms and values. The larger the cultural distance, the larger the difference in the shared norms and values between the home and target country, and hence the higher the external uncertainty associated with wholly owned greenfields and full acquisitions.² MNEs can substantially reduce the high external uncertainty associated with WOSs in culturally distant countries by entering such countries through JVs with local firms. The reason is that local JV partners, unlike foreign MNEs, usually possess intimate knowledge of the host country's norms and values, and of local stakeholders' practices and preferences stemming from these norms and values (Agarwal, 1994; Barkema & Vermeulen, 1997; Franko, 1973; Root, 1987; Stopford & Wells, 1972). Moreover, local JV partners are generally motivated to use this knowledge to the

² One might argue that the extent to which the external uncertainty associated with WOSs increases with cultural distance differs between wholly owned greenfields and full acquisitions. However, our results reported in Section 5 suggest that this is not the case.

benefit of the JV because they share in its profits (Hennart, 1988). While full acquisitions also come with culture-specific knowledge, they give the acquired local firm neither any control nor any profit rights, thereby greatly reducing the firm's incentive to use its knowledge in its acquirer's best interest (Hennart, 1988).

A second reason why JVs mitigate the high external uncertainty associated with WOSs in culturally distant markets is that greenfield JVs and partial acquisitions are shared-equity arrangements and therefore typically require fewer resources from MNEs than wholly owned greenfields and full acquisitions (Anderson & Gatignon, 1986; Hill et al., 1990). This is advantageous because MNE managers are often reluctant to commit vast resources to investments in culturally distant markets from the outset (Root, 1987). Moreover, because JVs require fewer resources, they generally have lower exit costs than WOSs, and hence increase an MNE's flexibility (Brouthers & Brouthers, 2001; Kogut, 1991). The higher flexibility associated with JVs is particularly beneficial to MNEs investing in culturally distant countries, because entries into such countries generally involve higher levels of external uncertainty and are hence more likely to fail than entries into culturally close locations (Hill et al., 1990).

Because the external uncertainty associated with entries into culturally distant countries is substantially lower for JVs than for WOSs, various empirical studies have hypothesized that MNEs are more likely to enter such countries through JVs rather than through WOSs (e.g., Azofra Palenzuela & Martinez Bobillo, 1999; Brouthers & Brouthers, 2001; Contractor & Kundu, 1998; Gatignon & Anderson, 1988; Hennart & Larimo, 1998; Larimo, 1993). However, as shown in Table 1 and as noted by others as well (Brouthers & Brouthers, 2001; Cho & Padmanabhan, 2005; Harzing, 2003; Hennart & Larimo, 1998),

Table 1

Empirical studies testing for the impact of cultural distance on the choice between JV and WOS.

Study	Setting		Operationalization of cultural distance	Observed impact of cultural distance ^a
	Home country	Host country		
Gatignon and Anderson (1988)	US	Various	4 cultural cluster dummies	+
Erramilli and Rao (1993)	US	Various	Kogut and Singh index	+
Larimo (1993)	Finland	Various	Kogut and Singh index	n.s.
Agarwal (1994)	US	Various	Kogut and Singh index	+ ^b
Madhok (1994)	North American and European countries	Various	Kogut and Singh index	–
Bell (1996)	The Netherlands	Various	Combination of Kogut and Singh index and a perceptual measure	U
Padmanabhan and Cho (1996)	Japan	Various	Host-country dummy based on mean value of Kogut and Singh index (large cultural distance = 1)	–
Anand and Delios (1997)	Japan	Various	Kogut and Singh index	–
Barkema and Vermeulen (1997)	The Netherlands	Various	Kogut and Singh and Euclidean distance indices	+
Contractor and Kundu (1998)	Various	Various	Kogut and Singh index	n.s.
Hennart and Larimo (1998)	Japan and Finland	US	Home-country dummy (Japan = 1)	+
Taylor et al. (1998)	US and Japan	Various	Perceptual measure	–/n.s. ^c
Azofra Palenzuela and Martinez Bobillo (1999)	Spain	Various	3 cultural cluster dummies	n.s.
Padmanabhan and Cho (1999)	Japan	Various	Kogut and Singh index	n.s.
Brouthers and Brouthers (2001)	The Netherlands, Germany, the UK, and the US	Hungary, Poland, the Czech Republic, Russia, and Rumania	Euclidean distance index	+ ^d
Chang and Rosenzweig (2001)	Japan and 10 European countries	US	Euclidean distance index and 5 cultural cluster dummies	+/n.s. ^e
Luo (2001)	Various	China	Kogut and Singh index	n.s.
Chen and Hu (2002)	Various	China	Kogut and Singh index	–/n.s. ^f
Yiu and Makino (2002)	Japan	Various	Kogut and Singh index	+/n.s. ^g
Pak and Park (2004)	Japan	Various	Kogut and Singh index	+
Xu et al. (2004)	Japan	Various	Kogut and Singh index	n.s.
Cho and Padmanabhan (2005)	Japan	Various	Kogut and Singh index	n.s. ^h

^a + = increased probability of a JV, – = increased probability of a WOS, U = curvilinear effect, n.s. = not significant.

^b The effect was negatively moderated by international experience.

^c The effect was significantly negative for US MNEs, but insignificant for Japanese ones.

^d The effect was negatively moderated by host-country risk.

^e The effect of the Kogut and Singh index was significantly positive, but the effects of the cultural cluster dummies were generally insignificant.

^f The effect was significantly negative for contractual JVs vs. WOSs, but insignificant for equity JVs vs. WOSs.

^g The effect was significantly positive when subsidiaries with 100% and >95% MNE equity stakes were coded as WOSs, respectively, but insignificant when 80% was used as a cutoff.

^h The effect was negatively moderated by international and mode-specific experience (i.e., experience with JVs and WOSs, respectively).

the empirical findings of previous research have been contradictory. Several studies found that cultural distance indeed increases the propensity of MNEs to choose JVs (e.g., Erramilli & Rao, 1993; Hennart & Larimo, 1998; Pak & Park, 2004), but others found that it increases the propensity to choose WOSs (e.g., Anand & Delios, 1997; Padmanabhan & Cho, 1996), while still others obtained mixed (e.g., Chang & Rosenzweig, 2001; Taylor, Zou, & Osland, 1998) or non-significant findings (e.g., Contractor & Kundu, 1998; Luo, 2001).

We argue that these contradictory findings have emerged because cultural distance not only proxies for the external uncertainty associated with WOSs, but also for the *internal* uncertainty associated with JVs. International JVs involve equity partners from dissimilar cultures. These partners typically have different organizational and administrative practices (Kogut & Singh, 1988), have dissimilar leadership, communication, and management styles (Dorfman & Howell, 1988; Hennart & Zeng, 2002; Ralston, Gustafson, Mainiero, & Umstot, 1993), interpret and respond to strategic issues differently (Schneider & De Meyer, 1991), and have workforces with different preferences and expectations (Park & Ungson, 1997). These inter-partner differences promote misunderstandings and managerial conflicts between the JV partners (Brown, Rugman, & Verbeke, 1989; Lane & Beamish, 1990; Park & Ungson, 1997), resulting in internal uncertainty. The larger the cultural distance, the more likely that such misunderstandings and conflicts will occur, and the higher the internal uncertainty will be. Although culture-related misunderstandings and conflicts are typically unintentional, they severely hinder cooperation between the partners, for instance with respect to the transfer of management practices and technologies (Barkema, Shenkar, Vermeulen, & Bell, 1997; Padmanabhan & Cho, 1996), resulting in poor JV performance (Barkema et al., 1997; Park & Ungson, 1997).

While WOSs may also be subject to internal misunderstandings and conflicts caused by cultural differences, such misunderstandings and conflicts are less likely to be a source of internal uncertainty than those associated with JVs (cf. Tsang, 1994). The reason is that internal misunderstandings and conflicts between parent-country managers and local employees are much easier to resolve in WOSs than in JVs. Specifically, when an MNE has full ownership and control over a greenfield or acquired subsidiary, it is relatively easy for the MNE to layoff culturally incompatible local workers and to hire culturally compatible new ones (Anderson & Gatignon, 1986; Hill et al., 1990). In case of greenfield JVs and partial acquisitions, on the other hand, it is generally more difficult for MNEs to fire local workers, because the local partner may use its decision making power to prevent layoffs of locals (Björkman & Lu, 2001; Stopford & Wells, 1972; Tsang, 1994). Tsang (1994), for instance, found that foreign MNEs are often unable to dismiss unsuited local workers from their JVs in China owing to resistance from their Chinese partners. In other words, cultural differences are primarily a source of internal uncertainty in JVs, and much less of a source of such uncertainty in WOSs.

Thus, whereas cultural distance primarily reflects variations in *external* uncertainty in case of WOSs, it primarily reflects variations in *internal* uncertainty in case of JVs. It is *a priori* unclear how the rate at which cultural distance increases the external uncertainty associated with WOSs compares to the rate at which cultural distance increases the internal uncertainty associated with JVs. As a result, the effect of cultural distance on the choice between JVs and WOSs is theoretically ambiguous, making this distance a suboptimal predictor of entry mode choice. The contradictory empirical findings of previous research reported in Table 1 support this view. Below we will theoretically assess the predictive power of two alternative proxies for external uncertainty, i.e. the target country's political risk level and its overall governance quality.

2.2. Governance quality and foreign entry mode choice

While various entry mode studies have focused on the informal cultural part of the host environment to model external uncertainty, others have focused on the formal political part. Specifically, several studies have used the level of political risk in foreign countries as a proxy for the amount of external uncertainty in these countries (Agarwal & Ramaswami, 1992; Akhter & Lusch, 1988; Delios & Beamish, 1999; Delios & Henisz, 2000; Henisz, 2000; Kobrin, 1983). Political risk refers to the likelihood of an unfavorable change in the governmental regime of a country or in the policies issued by this regime (Henisz, 2000; Miller, 1992). The higher this likelihood, many studies have argued, the higher the propensity of MNEs to enter through JVs rather than through WOSs (Agarwal & Ramaswami, 1992; Akhter & Lusch, 1988; Delios & Beamish, 1999; Delios & Henisz, 2000; Henisz, 2000; Hill et al., 1990; Kobrin, 1983). However, political risk is a rather narrowly defined concept that covers only one aspect of a country's formal institutional environment, and hence of external uncertainty (Brouthers, 1995; Globerman & Shapiro, 2003; Miller, 1992). Extant research has shown that MNE executives also take into account other aspects of this formal environment in their foreign entry strategies (Kobrin, Bask, Blank, & La Palombara, 1980). That is, executives generally base their entry mode choices on an assessment of the overall formal environment rather than on an assessment of a single aspect of this environment. Consequently, political risk is likely to be a suboptimal predictor of the choice between JVs and WOSs too.

We contend that the external uncertainty associated with foreign entries needs to be conceptualized more broadly. Following Globerman and Shapiro, we propose that the 'governance infrastructure' of host countries offers this broader conceptualization, since it covers all "public institutions and policies created by governments as a framework for economic, legal, and social relations" (2003, p. 20). It represents all those "attributes of legislation, regulation, and legal systems that condition freedom of transacting, security of property rights, and transparency of government and legal processes" (2003, p. 19), and includes (1) the process by which governments are selected, monitored, and replaced, (2) governments' capacity to effectively formulate and implement solid policies, and (3) the extent to which citizens and governments respect the institutions that govern economic and social interactions (Kaufmann, Kraay, & Mastruzzi, 2004). The lower the quality of this governance infrastructure, the higher the external uncertainty associated with a WOS.

Equity JVs with local firms mitigate this governance-related external uncertainty in similar ways as such ventures mitigate the external uncertainty stemming from cultural distance. First, greenfield JVs and partial acquisitions allow MNEs to team up with motivated local equity partners that possess the knowledge and skills required to successfully operate in countries with voids or flaws in their governance system (Franko, 1973; Stopford & Wells, 1972; Yiu & Makino, 2002). Managers of local firms generally know better how to deal with institutional voids and with corrupt government officials or other local stakeholders infringing the law (Rodriguez, Uhlenbruck, & Eden, 2005). Developing and maintaining relations with such stakeholders in poorly governed countries require a unique management approach with which MNEs are often unfamiliar (Beamish & Inkpen, 1995). Second, as stated earlier, greenfield JVs and partial acquisitions generally require fewer resources and are therefore more flexible and involve lower exit costs than wholly owned greenfields and full acquisitions (Anderson & Gatignon, 1986; Delios and Henisz, 2000; Kogut, 1991), making it easier for MNEs to withdraw from the venture should the governance infrastructure in the host country deteriorate (Hill et al., 1990).

An additional reason why equity JVs with local firms reduce the external uncertainty stemming from a low governance quality is that such ventures are less likely to be treated unfavorably by local actors than WOSs (Delios & Henisz, 2000; Henisz, 2000; Yiu & Makino, 2002). Governments in poorly governed countries may for instance suddenly make it more difficult or even impossible for greenfield or acquired subsidiaries that are wholly owned by foreign MNEs to repatriate their earnings, or may unexpectedly decide to impose import or export quotas on such subsidiaries. By sharing the ownership of their subsidiaries with local firms, MNEs reduce the risk that they will be struck by such discriminatory policies, since host governments fear the negative consequences of such policies for the local JV partners (Henisz, 2000). Similarly, in countries with a poor governance infrastructure local suppliers or buyers may use loopholes in the legal system to act opportunistically towards foreign MNEs. Such behavior is less likely when foreign MNEs team up with local firms that co-own and co-manage the venture. Moreover, even when governments or other local stakeholders mistreat JVs that involve local partners, such ventures have the additional advantage over WOSs that they require fewer resources and are hence less costly to abandon by MNEs, should they become subject to severe mistreatment (Delios & Henisz, 2000). In sum, equity JVs in poorly governed countries suffer from less external uncertainty than their wholly owned counterparts.

As was the case with cultural distance, it may be argued that this decrease in external uncertainty is accompanied by an increase in internal uncertainty, since local JV partners are more likely to deviate from JV contracts in more poorly governed countries, given that JV contracts are more difficult to enforce in such countries (Henisz, 2000). However, there are two reasons why decreases in governance quality are unlikely to substantially increase the risk of such intentional opportunistic behavior by local JV partners. First, as stated earlier, partners in equity JVs are paid from the profits of the JV. This reward structure limits partners' inclination to act opportunistically because any deliberate opportunistic act could go at the expense of the profits of the JV. Hence, the local partner's share in the JV's profits partly compensates for the higher risk of partner opportunism in more poorly governed countries (Hagedoorn, Cloudt, & Van Kranenburg, 2005; Hennart, 1988; Oxley, 1999). Second, Luo (2005) found that JV contracts in countries with a poor legal system contain significantly more clauses based on third-country laws or international treaties than JV contracts in countries with a well-developed legal system. These third-country or supranational contractual safeguards further "compensate for the threat of a limited legal infrastructure" in poorly governed countries (Luo, 2005, p. 214), causing the risk of deliberate partner opportunism in such countries to be comparable to that in well-governed countries. Consequently, decreases in governance quality do not substantially increase the internal uncertainty associated with JVs.

By contrast, as stated earlier, increases in *cultural distance* do substantially increase the internal uncertainty associated with JVs. The reason is that cultural conflicts between JV partners, in contrast to opportunistic acts stemming from poor governance, are generally unintentional and hence difficult to avoid (Neal, 1998), even if the partners share the venture's profits. Moreover, Luo (2005) found that JV contracts in culturally distant countries contain similar amounts of contractual obligations as JV contracts in culturally close countries. This suggests that JV partners do not anticipate the larger cultural conflicts in culturally more distant countries, or find it difficult to specify solutions to these conflicts in advance. As a result, JVs in culturally distant countries typically experience much higher levels of internal uncertainty than JVs in culturally close countries.

Thus, whereas cultural distance measures variations in both the external uncertainty associated with WOSs and the internal uncertainty associated with JVs, governance quality does not. Governance quality predominantly measures variations in the external uncertainty associated with WOSs, and not variations in the internal uncertainty associated with JVs. Governance quality is therefore a better proxy for external uncertainty, and is expected to be a significant predictor of the choice between JVs and WOSs. Specifically:

Hypothesis. The lower the target country's overall governance quality, the more likely that an MNE will enter that country through an equity JV rather than through a WOS.

3. Methodology

3.1. Data collection and sample

We collected our data from several secondary sources (to be specified in Section 3.2) and through a mail survey of senior executives of Dutch MNEs conducted in 2003. We had identified the names of these executives and their firms through the

Table 2
Geographic distribution of the investments in the sample.

Geographic area	Number of investments	Percentage
Belgium and Luxembourg	24	10.4
Northern Europe	13	5.6
United Kingdom and Ireland	31	13.4
Southern Europe	26	11.3
Germanic countries	26	11.3
Eastern Europe	39	16.9
North America	26	11.3
Latin America	14	6.1
Asia	23	10.0
Africa	6	2.6
Australia	3	1.3

Table 3
Industry distribution of the MNEs in the sample.

Main industry	Number of MNEs	Percentage
Agriculture and horticulture	4	2.7
Food and beverages	13	8.7
Machinery and electronics	15	10.0
Wood and paper products	11	7.3
Chemicals and synthetics	15	10.0
Metal products	12	8.0
Construction	7	4.7
Other manufacturing	4	2.7
Retail and wholesale trade	20	13.3
Transportation, storage, and communication	10	6.7
Financial services	13	8.7
Professional services	23	15.3
Other services	3	2.0

Review and Analysis of Companies in Holland (REACH) database, which contains Chamber of Commerce data on all firms registered in the Netherlands.³ Dutch-based subsidiaries of foreign MNEs were excluded from the survey.

We developed a questionnaire that was first evaluated by several international management scholars, and subsequently pre-tested on five senior managers whose firms had recently made foreign investments. This procedure resulted in several small changes in the wording of questions. In the questionnaire we asked managers to provide data on one of their firm's foreign WOS or equity JVs with one or multiple *host-country* partners,⁴ or on both entry modes. To ensure the reliability of this data, we structured the questionnaire in such a way that respondents would only provide investment data if (1) their firm was *responsible* for foreign investment decisions, (2) the investments had been completed *in recent years*, and (3) the respondents had been *personally involved* in them.

We sent the questionnaire to 1782 managers of 821 Dutch MNEs, resulting in a 19.2% response rate (cf. Kim & Hwang, 1992: 22%; Taylor et al., 1998: 18% for US MNEs and 17.4% for Japanese ones) and in data on 248 foreign investments made by 159 MNEs. Incomplete survey data and unavailable secondary data resulted in a final sample of 231 foreign investments – 63 JVs and 168 WOSs – completed by 150 MNEs in 48 countries over the period 1996–2003. Table 2 shows the geographic distribution of these investments, while Table 3 shows the industry distribution of the MNEs that made them. *T*-tests indicated that these MNEs were significantly larger than the 671 other MNEs to which we sent the questionnaire, both in annual worldwide sales and in number of employees ($p < 0.05$). Hence, our findings primarily apply to large MNEs.

3.2. Dependent and key independent variables

3.2.1. Foreign entry mode

The dependent variable is the foreign entry mode chosen by an MNE for a specific foreign investment, i.e. whether the investment was an equity JV or a WOS. We obtained this information from the questionnaire by asking respondents to indicate whether the focal subsidiary had any local co-owners (see Appendix A). If this was the case, we considered the subsidiary to be a JV and assigned it a value of 1. Following Gatignon and Anderson (1988), Guillen (2003), and Yiu and Makino (2002), subsidiaries which were fully owned by Dutch MNEs were coded as WOSs and assigned a value of 0. In line with prior studies (e.g., Chen & Hennart, 2002; Hennart, 1991; Hennart & Larimo, 1998; Padmanabhan & Cho, 1996, 1999),

³ All firms in the Netherlands are legally required to file data with the Chamber of Commerce.

⁴ JVs with home-country partners and third-country partners are thus excluded.

both partially owned greenfields and partial acquisitions were coded as JVs, and both wholly owned greenfields and full acquisitions as WOSs. In our robustness analyses we empirically assess the validity of this approach.

3.2.2. Host-country governance quality

Our measure of the quality of the host country's governance infrastructure is based on Kaufmann et al.'s (2004) analysis of several hundreds of variables measuring governance quality drawn from 25 sources such as the Political Risk Services' *International Country Risk Guide*, the Heritage Foundation's *Economic Freedom Index*, the World Bank's *Country Policy and Institutional Assessments*, and the World Economic Forum's *Global Competitiveness Report*. Using an unobserved components model, Kaufmann et al. identified six dimensions along which countries differ from one another in terms of their governance quality, i.e.:

1. Voice and accountability, which reflects the extent to which a country's citizens are able to participate in the selection of governments, and the extent to which these governments are monitored and can be held accountable for their actions.
2. Political stability, which measures the likelihood that a country's government will be destabilized or overthrown by unconstitutional or violent means, such as political violence or terrorism. This dimension resembles the political risk aspect of a country's formal environment on which previous entry mode studies have often focused their inquiries (e.g., Akhter & Lusch, 1988; Delios & Henisz, 2000; Henisz, 2000; Kobrin, 1983).
3. Government effectiveness, which reflects the extent to which the government is able to formulate and implement good policies and deliver public goods. It focuses on the quality of public service provision, the quality of the bureaucracy, the competence of civil servants, and the credibility of the government's commitment to policies.
4. Regulatory quality, which measures the quality of the actual government policies, such as the degree of regulation of foreign trade and the incidence of market-unfriendly policies.
5. Rule of law, which measures the degree to which a country's citizens have confidence in the law and comply with the rules of society. It concentrates on the quality of the legal system and the enforceability of contracts.
6. Control of corruption, which reflects the degree to which public power is exercised for private gain.

Kaufmann et al. (2004) assigned most of the 199 countries included in their analysis a score on each dimension for the years 1996, 1998, 2000, and 2002 that varied between –2.5 and 2.5, with higher values indicating higher governance quality levels. Since all correlations between the dimensions exceeded 0.5, we followed Dikova and Van Witteloostuijn (2007) and averaged their scores into a composite measure of the overall quality of a country's governance infrastructure. For the uneven years of the 1996–2003 period we used the dimension scores of the preceding year.

3.3. Control variables

Following the many prior studies listed in Table 1, we first of all include cultural distance in our models. As explained earlier, the impact of cultural distance on entry mode choice is theoretically ambiguous, and hence an empirical question. In line with prior studies (Barkema & Vermeulen, 1997; Brouthers & Brouthers, 2001; Chang & Rosenzweig, 2001; Drogendijk & Slangen, 2006; Vermeulen & Barkema, 2001), we measure the cultural distance between the Netherlands and each host country through a Euclidean distance version of the Kogut and Singh (1988) index. Like the Kogut and Singh index, this Euclidean distance measure is based on the scores of the Netherlands and each host country on Hofstede's (1980) four dimensions of national culture, viz. power distance, uncertainty avoidance, individualism, and masculinity. The validity of these dimensions has been empirically confirmed in many studies (e.g., Van Oudenhoven, 2001; for a review of earlier replications, see Sondergaard, 1994). While the Kogut and Singh index implicitly assumes that all dimensions are equally important in determining the cultural distance between countries, its Euclidean distance version relaxes this unproven assumption (Shenkar, 2001). Specifically, whereas the Kogut and Singh index divides the sum of the squared differences in the scores on each dimension by four, its Euclidean distance version takes the square root of this sum. Formally:

$$CD_j = \sqrt{\sum_{i=1}^4 \left\{ \frac{(I_{ij} - I_{iN})^2}{V_i} \right\}}$$

where CD_j is the cultural distance between host country j and the Netherlands, I_{ij} is country j 's score on the i th cultural dimension, I_{iN} is the score of the Netherlands on this dimension, and V_i is the variance of the dimension.

Second, we control for the amount of tacit or difficult-to-protect technological knowledge of the investing MNEs. MNEs possessing much of this knowledge may prefer to exploit it through WOSs in order to prevent it from leaking to a JV partner (Hennart, 1991). Following previous research, we measure an MNE's technological skills by its R&D expenditures to sales ratio (e.g., Agarwal, 1994; Chen, 2008; Hennart, 1991; Yiu & Makino, 2002). Data on this variable were obtained from the MNEs' annual reports, the questionnaire, and the REACH database.

We also control for the marketing skills of the investing MNEs. MNEs possessing such skills may prefer to exploit them through WOSs, so as to avoid that JV partners appropriate these skills or free ride on the brand reputation that comes with them (Chen & Hennart, 2002; Hennart, 1991). In line with prior studies, we measure an MNE's marketing skills by its

advertising expenditures to sales ratio (e.g., [Chen, 2008](#); [Delios & Henisz, 2000](#); [Hennart, 1991](#); [Henisz, 2000](#)). Data on this variable were also obtained from the MNEs' annual reports, the questionnaire, and the REACH database.

Internationally inexperienced MNEs may lack the knowledge to operate abroad on their own and may hence prefer to enter foreign countries through JVs ([Gatignon & Anderson, 1988](#)). We control for an MNE's international experience through the number of countries in which the MNE had operations ([Barkema & Vermeulen, 1998](#); [Kogut & Singh, 1988](#)). We obtained this number from the MNEs' annual reports, their corporate websites, and the questionnaire.

We also control for an MNE's host-country experience, as MNEs with little experience of a particular host country may lack the skills to operate in that country on their own, leading them to opt for JVs with local firms ([Hennart, 1991](#)). As shown in the [Appendix A](#), we obtained data on this experience by asking respondents to indicate whether their firm had previously been active in the country entered through (1) licensing agreements, (2) sales agents, (3) sales subsidiaries, (4) manufacturing or service subsidiaries, or (5) other means. As these experiences increase an MNE's knowledge of the host country to a different extent ([Johanson and Vahlne, 1977](#)), we assigned different values to them. Specifically, the first four experience types were given the values of 1 through 4, respectively. Almost all experiences in the fifth category involved direct exports to the host country and were assigned a value of 2. Following [Drogendijk and Slangen \(2006\)](#), we measured an MNE's host-country experience by the sum of the values assigned to the different experience types.

MNEs with extensive experience with a particular entry mode are likely to use that mode again for later investments ([Padmanabhan & Cho, 1999](#)). We therefore control for an MNE's experience with international JVs and with international WOSs as indicated by respondents on two 7-point Likert scales (see [Appendix A](#)).

Like those of prior studies ([Barkema et al., 1997](#); [Barkema & Vermeulen, 1998](#); [Drogendijk & Slangen, 2006](#); [Kogut & Singh, 1988](#)), our sample consists of investments by both manufacturing and service MNEs. Following [Drogendijk and Slangen \(2006\)](#) and [Kogut and Singh \(1988\)](#), we control for potential differences in the entry mode choices of these two types of MNEs through a dummy variable coded 1 for non-manufacturing MNEs – i.e., service and wholesale trade firms – and 0 for manufacturing MNEs.⁵ We based our classification on REACH's description of the MNE parent's main activities.

We also control for the relatedness of the investment, because MNEs entering unrelated industries may prefer JVs to gain access to distribution channels and product-specific knowledge needed to successfully operate in the new industry ([Hennart, 1991](#); [Stopford & Wells, 1972](#)). To identify this relatedness, we asked survey respondents to indicate the subsidiary's main industry and compared that industry to the main and secondary 4-digit industries of the parent as reported in the REACH database. In line with [Barkema and Vermeulen \(1998\)](#), we measured the relatedness of an investment by a categorical variable equal to 0 if the subsidiary's main industry matched with one of its parent's main industries, 1 if the subsidiary's main industry matched with one of its parent's secondary industries, and 2 if the subsidiary's main industry did not match with any of its parent's main and secondary industries.

As stated earlier, JVs generally require fewer resources from MNEs than WOSs. This is especially advantageous in case of large investments, since MNEs may lack the financial and managerial resources to undertake such investments on their own. MNEs may therefore be more likely to opt for JVs when the size of the focal investment is large ([Bell, 1996](#); [Hennart, 1991](#)). As in [Bell \(1996\)](#), we obtained data on investment size from the questionnaire by asking respondents to indicate on a 7-point Likert-type scale the planned size of the subsidiary compared to that of its parent (in terms of the number of employees) (see [Appendix A](#)).

Since an MNE's choice between a JV and a WOS potentially depends on the related choice between greenfield and acquisition entry ([Chen, 2008](#); [Drogendijk & Slangen, 2006](#); [Stopford & Wells, 1972](#)), we include in our models a dummy variable coded 1 if respondents indicated that the focal investment was a greenfield, and 0 if they indicated that it was an acquisition. We also use this dummy to examine whether the effects of cultural distance and governance quality on the choice between JVs and WOSs are robust across greenfield and acquisition entries.

Legal restrictions on share ownership by foreign firms increase the likelihood of JV entry (e.g., [Gatignon & Anderson, 1988](#); [Gomes-Casseres, 1990](#)). To control for this effect, we asked respondents to indicate on a 7-point Likert-type scale the extent to which their firm was confronted with such restrictions (see [Appendix A](#)). An advantage of obtaining this data from the questionnaire rather than from archival sources is that it allows us to not only control for variations in legal restrictions across countries, but also for within-country variations. By controlling for legal restrictions, we exclude the possibility that the effects of our external uncertainty variables on entry mode choice are driven by unavoidable ownership restrictions correlated with these variables rather than by managers' assessments of the level of external uncertainty ([Henisz, 2000](#)).

Finally, since the investments comprising our sample were made between 1996 and 2003, we included seven-year dummies, using 1996 as the baseline year, so as to control for potential year-specific effects.

3.4. Method

Because the dependent variable is dichotomous, we used logistic regression to test our hypothesis. Logistic regression models are formally expressed as $P(y_i = 1) = 1 / (1 + \exp(-a - X_i\beta))$, where y_i is the dependent variable, X_i is the vector of independent variables for the i th observation, a is the intercept parameter and β is the vector of regression coefficients

⁵ We did not create a separate dummy for MNEs operating in extractive industries, since our sample contains only one entry by an MNE operating in such an industry. We classified this MNE as a manufacturing firm.

Table 4

Descriptive statistics and correlations^a.

Variable	Mean	S.D.	1	2	3	4	5	6	7	8	9	10	11	12	13
Entry mode ^b	0.27	0.45													
Host-country governance quality	1.06	0.72	−0.18												
Cultural distance	2.86	0.73	0.10	−0.56											
MNE's technological knowledge	0.02	0.04	−0.07	0.08	−0.00										
MNE's marketing skills	0.02	0.03	0.01	−0.03	0.02	0.33									
MNE's international experience	13.6	14.9	−0.13	−0.11	0.04	−0.03	0.12								
MNE's host-country experience	3.10	2.35	−0.08	0.01	0.02	0.03	−0.11	0.16							
MNE's JV experience	4.00	1.95	0.11	−0.18	0.11	0.01	0.10	0.48	0.11						
MNE's WOS experience	5.91	1.29	−0.14	−0.15	0.11	−0.01	0.10	0.44	0.13	0.29					
MNE type ^c	0.49	0.50	0.02	0.06	−0.09	0.01	0.06	0.10	0.05	−0.01	−0.03				
Unrelated investment	0.21	0.48	0.04	0.06	−0.09	0.05	0.03	0.08	0.05	0.05	0.03	0.10			
Investment size	2.56	1.61	0.05	−0.05	−0.10	0.01	0.00	−0.06	0.10	0.07	0.02	−0.10	−0.02		
Greenfield vs. acquisition entry ^d	0.50	0.50	−0.10	−0.35	0.28	0.05	0.02	−0.09	−0.19	−0.04	−0.00	0.01	−0.09	−0.21	
Ownership restrictions	1.61	1.53	0.35	−0.30	0.24	0.02	0.02	0.04	0.09	0.13	0.04	0.01	0.00	0.08	0.06

^a $N = 231$. Correlations greater than or equal to |0.13| are significant at $p < 0.05$, while those greater than or equal to |0.17| are significant at $p < 0.01$ (two-tailed).

^b JV = 1.

^c Non-manufacturing = 1.

^d Greenfield = 1.

(Amemiya, 1981). Since the dependent variable has a value of 1 if an investment was a JV, a positive regression coefficient indicates that a particular independent variable increases the probability of a JV. We estimated our models with STATA 9.1, using the “cluster” sub-command to obtain robust standard errors that are adjusted for the fact that several MNEs had multiple investments in our sample (see Xu, Pan, & Beamish, 2004, for further details of this procedure).

4. Results

Table 4 gives the descriptive statistics of all variables and their correlations. All correlations between the independent variables are lower than 0.60, suggesting that multicollinearity is not a concern. This was confirmed by the variance inflation factors (VIFs) of the multivariate regression models that we ran, as all VIFs were well below the generally accepted multicollinearity threshold of 10 (Hair, Anderson, Tatham, & Black, 1998). The results of these regression analyses are reported in Table 5. Note that the *standardized* regression coefficients are reported. The explanatory power of all models is good, as their Chi-squared values are all significant ($p < 0.001$) and their percentages of correctly classified observations all exceed the chance rate of 60.3% with at least 18.5% points.⁶

Model 1 only contains the control variables. Their effects are largely in line with those reported in prior studies. In line with a substantial number of studies listed in Table 1, cultural distance has a non-significant effect on entry mode choice, presumably because this distance is a poor proxy for external uncertainty, and hence a poor predictor of MNEs' entry mode choices. We also find that MNEs possessing extensive technological knowledge are somewhat more likely to choose WOSs rather than JVs (cf. Erramilli & Rao, 1993; Padmanabhan & Cho, 1996, 1999; Yiu & Makino, 2002). MNEs with extensive international, host country, and WOS experience are more likely to choose WOSs (cf. Barkema & Vermeulen, 1997; Gatignon & Anderson, 1988; Gomes-Casseres, 1989, 1990; Hennart, 1991; Padmanabhan & Cho, 1996, 1999; Yiu & Makino, 2002), while those with much JV experience are more likely to opt for JVs (cf. Padmanabhan & Cho, 1999). Greenfield entries are more likely to take the form of WOSs rather than JVs (cf. Drogendijk & Slangen, 2006; Stopford & Wells, 1972), while share ownership restrictions lead MNEs to enter through JVs rather than through WOSs (cf. Gatignon & Anderson, 1988; Gomes-Casseres, 1989, 1990; Padmanabhan & Cho, 1996). We find that the marketing skills of an MNE and the relatedness and size of an investment have no effect on entry mode choice. Several previous studies also obtained non-significant effects for one or more of these variables (e.g., Cho & Padmanabhan, 2005; Delios and Henisz, 2000; Henisz, 2000; Hennart, 1991; Hennart & Larimo, 1998; Padmanabhan & Cho, 1996, 1999; Xu et al., 2004; Yiu & Makino, 2002). As shown in Table 5, the effects of the control variables are consistent across all eight regression models.

Model 2 tests our hypothesis that countries with a lower governance quality are more likely to be entered through JVs rather than through WOSs. The hypothesis is supported, as the standardized regression coefficient of our composite measure of governance quality is significantly negative in Model 2 ($p < 0.05$), indicating that MNEs are more likely to enter countries with a high governance quality through WOSs and those with a low governance quality through JVs. Models 3 through 8 examine the effects of the different dimensions of host-country governance quality. Their standardized regression coefficients indicate that government effectiveness, regulatory quality, and control of corruption have the largest impact on entry mode choice ($\beta = -0.23$), followed by voice and accountability and rule of law ($\beta = -0.19$). Interestingly, political stability has the weakest impact of all governance-quality dimensions ($\beta = -0.14$, $p < 0.10$). Moreover, the reported

⁶ The chance rate is calculated as $a^2 + (1 - a)^2$, where a is the proportion of JVs in the sample.

Table 5Logistic regression estimates of the likelihood of JVs^a.

Variable	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7	Model 8
Overall governance quality		–0.23 (0.35) [*]						
Voice and accountability			–0.19 (0.40) [*]					
Political stability				–0.14 (0.35) [†]				
Government effectiveness					–0.23 (0.28) ^{**}			
Regulatory quality						–0.23 (0.34) ^{**}		
Rule of law							–0.19 (0.31) [*]	
Control of corruption								–0.23 (0.28) [*]
Cultural distance	0.07 (0.29)	–0.03 (0.32)	–0.02 (0.32)	–0.03 (0.31)	–0.03 (0.30)	–0.01 (0.39)	–0.02 (0.34)	–0.05 (0.34)
MNE's technological knowledge	–0.16 (6.50) [†]	–0.15 (6.48) [†]	–0.17 (6.63) [†]	–0.16 (6.53) [†]	–0.15 (6.44) [†]	–0.14 (6.51) [†]	–0.15 (6.50) [†]	–0.15 (6.50) [†]
MNE's marketing skills	0.04 (5.65)	0.05 (5.67)	0.05 (5.68)	0.05 (5.56)	0.05 (5.68)	0.03 (5.87)	0.05 (5.70)	0.06 (5.71)
MNE's international experience	–0.35 (0.02) ^{***}	–0.37 (0.02) ^{***}	–0.36 (0.02) ^{***}	–0.36 (0.02) ^{***}	–0.37 (0.02) ^{***}	–0.37 (0.02) ^{***}	–0.37 (0.02) ^{***}	–0.35 (0.02) ^{***}
MNE's host-country experience	–0.14 (0.07) [*]	–0.13 (0.07) [*]	–0.13 (0.07) [*]	–0.14 (0.07) [*]	–0.13 (0.07) [*]	–0.13 (0.08) [*]	–0.13 (0.07) [*]	–0.14 (0.07) [*]
MNE's JV experience	0.23 (0.10) ^{**}	0.23 (0.10) ^{**}	0.21 (0.10) ^{**}	0.24 (0.10) ^{**}	0.24 (0.10) ^{**}	0.24 (0.10) ^{**}	0.23 (0.10) ^{**}	0.24 (0.10) ^{**}
MNE's WOS experience	–0.12 (0.13) [*]	–0.13 (0.12) [*]	–0.12 (0.12) [*]	–0.13 (0.12) [*]	–0.14 (0.13) [*]	–0.12 (0.13) [*]	–0.13 (0.12) [*]	–0.13 (0.12) [*]
MNE type ^b	0.06 (0.34)	0.06 (0.34)	0.07 (0.35)	0.05 (0.34)	0.07 (0.35)	0.07 (0.34)	0.06 (0.35)	0.06 (0.35)
Unrelated investment	0.03 (0.40)	0.03 (0.40)	0.03 (0.41)	0.03 (0.39)	0.03 (0.40)	0.03 (0.41)	0.04 (0.40)	0.03 (0.40)
Investment size	–0.01 (0.10)	–0.05 (0.10)	–0.02 (0.10)	–0.03 (0.10)	–0.05 (0.10)	–0.04 (0.10)	–0.04 (0.10)	–0.05 (0.10)
Greenfield vs. acquisition entry ^c	–0.21 (0.45) [*]	–0.27 (0.52) ^{**}	–0.25 (0.51) ^{**}	–0.25 (0.49) ^{**}	–0.27 (0.51) ^{**}	–0.27 (0.51) ^{**}	–0.26 (0.51) ^{**}	–0.27 (0.52) ^{**}
Ownership restrictions	0.36 (0.12) ^{***}	0.34 (0.12) ^{***}	0.33 (0.12) ^{***}	0.36 (0.12) ^{***}	0.34 (0.12) ^{***}	0.33 (0.12) ^{***}	0.34 (0.12) ^{***}	0.34 (0.12) ^{***}
χ^2	52.82 ^{***}	55.30 ^{***}	53.30 ^{***}	52.39 ^{***}	56.53 ^{***}	56.33 ^{***}	54.86 ^{***}	56.65 ^{***}
Log likelihood	–105.59	–103.12	–103.97	–104.41	–102.91	–102.79	–103.81	–103.28
Likelihood ratio test of focal model vs. Model 1		4.93 [*]	3.24 [†]	2.36	5.37 [*]	5.60 [*]	3.56 [†]	4.63 [*]
Pseudo R ²	0.22	0.24	0.23	0.23	0.24	0.24	0.23	0.24

[†] $p < 0.1$.^{*} $p < 0.05$.^{**} $p < 0.01$.^{***} $p < 0.001$.^a $N = 231$. JV = 1. Standardized betas are reported with robust standard errors in parentheses. Year dummies and intercept are included but not shown.^b Non-manufacturing = 1.^c Greenfield = 1.

Table 6

Logistic regression estimates of the likelihood of JVs while correcting for endogeneity of the choice between greenfield and acquisition entry^a.

Variable	Model 9	Model 10	Model 11	Model 12	Model 13	Model 14	Model 15	Model 16
Overall governance quality		–0.23 (0.35) [*]						
Voice and accountability			–0.19 (0.40) [*]					
Political stability				–0.14 (0.35) [†]				
Government effectiveness					–0.23 (0.28) [*]			
Regulatory quality						–0.23 (0.34) ^{**}		
Rule of law							–0.19 (0.31) [*]	
Control of corruption								–0.23 (0.28) [*]
Correction variable (lambda)	–0.48 (3.16)	–0.22 (3.03)	–0.30 (3.02)	–0.38 (3.18)	–0.14 (3.00)	–0.23 (3.15)	–0.28 (2.98)	–0.24 (2.99)
Cultural distance	–0.08 (1.06)	–0.10 (1.01)	–0.11 (1.03)	–0.09 (1.07)	–0.07 (0.98)	–0.08 (1.05)	–0.10 (1.00)	–0.12 (1.00)
MNE's technological knowledge	–0.20 (7.81) [†]	–0.17 (7.62) [†]	–0.19 (7.85) [†]	–0.19 (7.82) [†]	–0.16 (7.50) [†]	–0.16 (7.78)	–0.17 (7.56) [†]	–0.17 (7.60) [†]
MNE's marketing skills	0.05 (5.68)	0.05 (5.71)	0.05 (5.70)	0.05 (5.59)	0.05 (5.70)	0.04 (5.90)	0.05 (5.73)	0.06 (5.73)
MNE's international experience	–0.32 (0.02) ^{**}	–0.36 (0.02) ^{***}	–0.34 (0.02) ^{***}	–0.34 (0.02) ^{***}	–0.37 (0.02) ^{***}	–0.36 (0.02) ^{***}	–0.35 (0.02) ^{***}	–0.34 (0.02) ^{***}
MNE's host-country experience	–0.06 (0.18)	–0.09 (0.17)	–0.08 (0.17)	–0.07 (0.18)	–0.10 (0.17)	–0.09 (0.18)	–0.08 (0.17)	–0.10 (0.17)
MNE's JV experience	0.23 (0.10) ^{**}	0.23 (0.10) ^{**}	0.21 (0.10) ^{**}	0.24 (0.10) ^{**}	0.24 (0.10) ^{**}	0.24 (0.10) ^{**}	0.24 (0.10) ^{**}	0.24 (0.10) ^{**}
MNE's WOS experience	–0.11 (0.13)	–0.13 (0.12) [*]	–0.12 (0.12) [*]	–0.12 (0.12) [*]	–0.14 (0.13) [*]	–0.12 (0.13) [*]	–0.13 (0.13) [*]	–0.13 (0.12) [*]
MNE type ^b	0.03 (0.41) [†]	0.05 (0.42)	0.05 (0.41)	0.03 (0.41)	0.06 (0.42)	0.06 (0.42)	0.05 (0.41)	0.04 (0.42)
Unrelated investment	0.06 (0.49)	0.04 (0.48)	0.04 (0.49)	0.05 (0.49)	0.04 (0.48)	0.04 (0.50)	0.05 (0.47)	0.04 (0.47)
Investment size	0.09 (0.31)	–0.004 (0.30)	0.03 (0.30)	0.05 (0.32)	–0.03 (0.30)	0.003 (0.31)	0.01 (0.29)	0.001 (0.30)
Greenfield vs. acquisition entry ^c	0.32 (5.16)	–0.03 (4.98)	0.08 (4.92)	0.17 (5.21)	–0.12 (4.94)	–0.02 (5.19)	0.05 (4.89)	–0.001 (4.91)
Ownership restrictions	0.36 (0.12) ^{***}	0.34 (0.12) ^{***}	0.34 (0.12) ^{***}	0.36 (0.12) ^{***}	0.34 (0.12) ^{***}	0.33 (0.13) ^{***}	0.35 (0.12) ^{***}	0.34 (0.12) ^{***}
χ^2	52.89 ^{***}	55.79 ^{***}	54.00 ^{***}	52.63 ^{***}	56.92 ^{***}	56.68 ^{***}	55.47 ^{***}	57.19 ^{***}
Log likelihood	–105.48	–103.10	–103.92	–104.34	–102.89	–102.76	–103.77	–103.25
Likelihood ratio test of focal model vs. Model 1		4.76 [*]	3.11 [†]	2.28	5.16 [*]	5.43 [*]	3.42	4.46 [*]
Pseudo R ²	0.22	0.24	0.23	0.23	0.24	0.24	0.23	0.24

[†] $p < 0.1$.^{*} $p < 0.05$.^{**} $p < 0.01$.^{***} $p < 0.001$.^a $N = 231$. JV = 1. Standardized betas are reported with robust standard errors in parentheses. Year dummies and intercept are included but not shown. The most important changes compared to Table 5 are highlighted in bold.^b Non-manufacturing = 1.^c Greenfield = 1.

likelihood ratio test indicates that the explanatory power of the model with political stability (Model 4) is not significantly higher than the explanatory power of the control variables (Model 1) ($\chi^2 = 2.36$, $p = 0.12$). These findings suggest that prior entry mode studies that have conceptualized and measured external uncertainty in terms of political risk have focused on a relatively unimportant aspect of a country's formal institutional environment. Other aspects of this environment, which have hitherto been largely ignored in entry mode research, seem to play a more important role in managers' foreign entry mode choices than political risk.

5. Additional analyses

Some of our independent variables may not only influence the choice between JVs and WOSs, but also that between greenfields and acquisitions. The latter choice is also an independent variable in our models, raising the possibility that the effects of specific independent variables are biased.⁷ We therefore examine whether our results are robust to the inclusion of a variable that corrects for the fact that the choice between greenfield and acquisition entry is endogenous (i.e., a function of some of our independent variables). Following [Chen \(2008\)](#), we generated this correction variable (called lambda or inverse Mills ratio) by regressing a subset of relevant independent variables on the greenfield vs. acquisition dummy, using probit regression analysis. As shown in [Table 6](#), the effects of our variables of interest do not change when we add the correction variable to our initial logistic regression models. The effect of cultural distance remains non-significant, while that of governance quality remains significantly negative ($p < 0.05$). The standardized regression coefficients and significance levels of the six dimensions of governance quality do not change either. However, the coefficients of the host-country experience variable and the greenfield vs. acquisition dummy become non-significant, illustrating the importance of correcting for endogeneity of entry mode choices in order to avoid biased results. The effects of the other control variables are robust to the inclusion of the correction variable.

We also examined whether the effects of cultural distance, governance quality, and the six governance-quality dimensions on the choice between JVs and WOSs differ across greenfield and acquisition entries. We did so by interacting each of these eight proxies for external uncertainty with the greenfield vs. acquisition dummy, and adding the resulting interaction terms to our logistic regression models. All interaction terms had a non-significant effect, regardless of whether the correction variable (lambda) was excluded or included.⁸ These results indicate that the effects of cultural distance, governance quality, and its individual aspects on the choice between JVs and WOSs do not depend on whether an entry takes the form of a greenfield or an acquisition. Furthermore, they support the idea that the amount of internal and external uncertainty associated with JVs and WOSs does not systematically vary across greenfield and acquired subsidiaries, and hence that pooling these two types of subsidiaries is – in our specific case – warranted (cf. [Brouthers & Hennart, 2007](#); [Hennart, 1988](#)).

6. Discussion and conclusion

It is well accepted in the entry mode literature that the choice by MNEs between entering foreign countries through JVs or through WOSs depends to a considerable extent on the level of external uncertainty in the target country. We have examined several ways to model this uncertainty. We have argued that modeling it as the cultural distance between the home and host country is suboptimal because this distance not only reflects the external uncertainty associated with WOSs but also the internal uncertainty associated with JVs. As a result, the impact of cultural distance on the choice between JVs and WOSs is theoretically ambiguous, and hence an empirical question. We have also argued that the political risk level of the host country is also an imperfect proxy for external uncertainty and hence a suboptimal predictor of entry mode choice, because political risk covers only one aspect of a country's formal institutional environment. We have proposed that the quality of the overall governance infrastructure of foreign countries reflects the external uncertainty in these countries more accurately. Unlike political risk, overall governance quality covers multiple aspects of a country's formal institutional environment – aspects that all play a role in managers' foreign entry mode decisions. And unlike cultural distance, governance quality does not substantially affect internal uncertainty levels and hence predominantly reflects external uncertainty. We therefore hypothesized that MNEs are more likely to enter countries with a low overall governance quality through JVs rather than through WOSs. An analysis of 231 entries by Dutch MNEs into 48 countries over the 1996–2003 period offered robust empirical support for this hypothesis. We also consistently found that cultural distance had a non-significant effect on entry mode choice and that political risk had the weakest effect on this choice of all six dimensions of governance quality. These findings support our theoretical argument that it is better to model the external uncertainty that MNEs face in foreign countries as the governance quality of these countries rather than as their cultural distance or political risk level.

Our finding that political risk has a weaker effect on entry mode choice than the other five dimensions of governance quality may stem from the way in which [Kaufmann et al. \(2004\)](#) defined and measured their dimensions. As stated earlier, Kaufmann et al.'s political risk dimension measures the likelihood that a country's government will be destabilized or overthrown by unconstitutional or violent means, such as political violence or terrorism. In other words, this dimension

⁷ We thank an anonymous reviewer for bringing this point to our attention.

⁸ These results are available from the authors upon request.

measures the likelihood of a sudden regime change. MNE executives may pay relatively little attention to this likelihood in their entry mode decisions, since regime changes may result in either less or more favorable government policies towards foreign MNE subsidiaries (Kobrin, 1976, p. 31), and may hence either increase or decrease the attractiveness of joint venturing with local firms. This may explain why Kaufmann et al.'s political risk measure has a relatively weak effect on entry mode choice. Kaufmann et al.'s other five dimensions of governance quality, on the other hand, all measure the quality of *current* government policies and actions, which are likely to carry much weight in MNE executives' foreign entry mode decisions. This may explain the relatively large effect sizes of voice and accountability, government effectiveness, regulatory quality, rule of law, and control of corruption.

Our study has several noteworthy implications. First, it makes clear that entry mode scholars have been measuring external uncertainty in the wrong way. Our theoretical and empirical analyses show that the common practice of measuring this uncertainty by the target country's cultural distance or its political risk level is flawed because neither cultural distance nor political risk adequately capture external uncertainty. We therefore strongly encourage entry mode scholars to move away from this common practice, and recommend that they start measuring external uncertainty by the quality of the target country's overall governance infrastructure or by its most important dimensions (notably government effectiveness, regulatory quality, and control of corruption). A second implication of our study is that it highlights the need for more entry mode research on specific dimensions of governance quality besides political risk. Rodriguez et al. (2005) took a first step in this direction in their conceptual study of the impact of host-country corruption on entry mode choice. However, much more conceptual and empirical work is required to further advance our understanding of the role that governance dimensions other than political risk play in MNEs' foreign entry strategies. Future research could for instance explore the direct and moderating effects of specific governance dimensions on the choice between greenfield and acquisition entry, or that between licensing and WOSs.

Our finding that cultural distance has a non-significant effect on the propensity to joint venture suggests that Dutch MNE executives – on average – consider the higher internal uncertainty associated with JVs in culturally distant countries to offset the lower external uncertainty associated with such ventures. Alternatively, the non-significant effect of cultural distance may also indicate that this distance plays no role at all in the entry mode choices of Dutch MNE executives. That is, another way to interpret our findings is that executives only assess the governance quality of the countries in which they plan to invest, and not the cultural distance to these countries. Future research could attempt to disentangle these two explanations for the non-significant effect of cultural distance in our study.

Although our findings support the idea that MNEs prefer to enter countries with a low governance quality through JVs in order to reduce external uncertainty, our study does not answer the question of whether JVs really result in such uncertainty reductions for MNEs. Reuer and Leiblein (2000) found that US MNEs with many international JVs did not experience lower levels of downside risk than MNEs with only a few international JVs. However, they did not take into account the location of the JVs. We contend that the reduction of external risk not only depends on the number of JVs but also on their location, with risk reductions being larger for JVs in countries where the quality of governance is lower. Future studies could look further into this issue.

We also encourage scholars to critically assess the explanatory power of the popular concept of cultural distance in other international business areas and, if necessary, to reconsider its applicability. For example, while some have found that large differences in national culture complicate cross-border acquisitions (e.g., Kogut & Singh, 1988), others have shown that such differences may in fact be beneficial to both acquiring and acquired firms (Morosini, Shane, & Singh, 1998; Vermeulen & Barkema, 2001). These conflicting findings suggest that the impact of cultural distance on cross-border acquisition performance may in fact be neither consistently negative nor consistently positive, but contingent upon third factors (Slangen, 2006).

Unfortunately, we were unable to obtain data on the exact ownership stakes that the MNEs in our sample took in each JV. As a result, we were unable to distinguish between majority-owned, 50–50 owned, and minority-owned JVs. This is a limitation because the amount of internal and external uncertainty experienced by MNEs may differ across these types of JVs. We therefore invite scholars to extend our theoretical and empirical analyses by taking into account these different JV types. Such analyses will further increase our understanding of the impact of formal and informal institutional factors on the internal and external uncertainty experienced by MNEs and on their foreign entry mode choices.

Another limitation of our study is that the effects of our composite governance quality measure and its six dimensions may reflect a governance *distance* rather than a governance quality effect. That is, it may be that differences in governance quality levels between home and host countries rather than absolute host-country governance quality levels drive the choice by MNEs between JVs and WOSs (cf. Xu & Shenkar, 2002). We are unable to deal with this issue in this study, because our sample contains only one home country. As a result, the governance quality of the host country and the governance distance between the home and host country are highly correlated.⁹ We therefore encourage future studies to analyze samples of MNEs from a variety of home countries entering a variety of host countries, and to examine whether these MNEs primarily base their foreign entry mode decisions on governance quality or on governance distance.

⁹ The correlation between our aggregated governance quality measure and a Euclidean governance distance index based on Kaufmann et al.'s (2004) six governance dimensions is –0.98.

A final potential limitation of our study is that we do not measure internal uncertainty directly, but infer the presence of this uncertainty from the non-significant effect of cultural distance. However, this approach seems legitimate. For instance, even though transaction costs play a key role in transaction cost theory, these costs have seldom been measured (for notable exceptions, see Benito, Tomassen, Bonache-Perez, & Pla-Barber, 2005; Dahlstrom & Nygaard, 1999), suggesting that the central concepts of solid theories do not necessarily need to be measured directly in order to test the validity of these theories. Nevertheless, to gain further insight into the role of internal uncertainty in foreign entry mode choices, future studies could develop instruments to measure this type of uncertainty directly.

Appendix A. Selected questionnaire items

Foreign entry mode:

For greenfields: Did greenfield A have one or more **local** co-owners (either firms, individuals, families, or the government of country X) during the first two years after it became operational?

For acquisitions: Did part of the shares of venture B remain in the hands of one or more **local** parties (either firms, individuals, families, or the government of country X) after the acquisition?

- ☐ yes
- ☐ no

MNE's host-country experience:

In which way(s) has your entity been active in country X before greenfield A [venture B] was established [acquired]? Please tick all forms of involvement that apply.

- ☐ by means of licensing agreements
- ☐ by means of one or more sales agents
- ☐ by means of one or more sales subsidiaries
- ☐ by means of one or more manufacturing or service subsidiaries
- ☐ otherwise, viz. _____

MNE's JV experience:

How much experience with partially-owned foreign subsidiaries (i.e., joint ventures and partial acquisitions) does your entity have?

(7-point Likert scale ranging from 'none' to 'very much')

MNE's WOS experience:

How much experience with wholly-owned foreign subsidiaries does your entity have?

(7-point Likert scale ranging from 'none' to 'very much')

Investment size:

What was the [planned] relative size (in terms of the number of employees) of venture B [greenfield A] compared to the size of your entity at the time of the acquisition [at the time greenfield A was established]?

(7-point Likert scale ranging from 'very small' to 'very large')

Ownership restrictions:

For greenfields: To what extent was the choice between sharing the equity of greenfield A with one or more local parties and not sharing it influenced by legal restrictions in country X with respect to share ownership by foreign firms?

For acquisitions: To what extent was the choice between acquiring venture B fully or partially influenced by legal restrictions in country X with respect to share ownership by foreign firms?

(7-point Likert scale ranging from 'not at all' to 'to a very large extent')

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